



Approval of Agreement with Mercy House to Operate the City's Homeless Navigation Center

City Council Meeting
September 16, 2025

Navigation Center Overview

Located at: 17642 Beach Boulevard

Opened: 2020

Operated by: Mercy House

Beds: 164 (reduced from 174 in July 2025 to align with demand and manage expenses)

Services Include:

- 24/7 shelter and meals
- Case management and housing navigation
- Medical and mental health coordination
- Life skills, job readiness, and transportation

Goal: Help clients in transition into permanent housing



Impact Since Opening

990 individuals served

More than 200 housing placements

2024 average daily occupancy: 158 (91% occupancy)

Key populations served in 2024:

- 82 seniors
- 18 veterans

800+ supportive services delivered annually

Types of services: employment support, health care coordination, recovery groups, and life skills training.



Client Profile

The Navigation Center serves clients with complex challenges:

- 80% had at least one disabling condition
- 61% had two or more conditions
- 53% mental health disorder
- 43% chronic health condition
- 42% physical disability
- 20% developmental disability
- 63% chronically homeless
- 10% age 65 or older
- 10–11% employed (annual average)



Why This Agreement Now?



Current contract expires September 30, 2025

New three-year agreement begins October 1, 2025
(initial term is 9 months to June 30, 2026 + 2 one-year options):

- Ensures service continuity
- Strengthens accountability
- Improves operations



Revised RFP Highlights

- Reduced bed count: 174 to 164 (aligns with demand and controls cost)
- Stronger performance targets (housing placements, service engagement)
- Enhanced cleanliness, safety, and reporting standards
- Greater clarity on staff training and enforcement
- Encourages operator to pursue private fundraising



Key Contract Enhancements

Accountability and reporting:

- Quarterly outcome and service reports
- Real-time client exit and termination tracking
- Client feedback surveys to guide improvements

Operations and safety:

- Updated daily operations and safety plan
- Refined policy enforcement for consistent expectations
- Staff parking relocated to maximize client access
- Meal planning tied to occupancy for efficiency



Cost and Comparison

- 9-month contract (Oct 1, 2025 – Jun 30, 2026): \$2.53M
- Fully funded within the \$3.39M FY 2025–26 Navigation Center budget
- Lower per-bed cost than other OC shelters (\$56.68 vs \$60–\$85)



Pathways and Next Steps

Pathways permanent shelter planned for this site

- Partnership with Jamboree Housing Corporation
- Current facility remains in use during development
- This agreement ensures continuity while supporting future transition



Recommendation

Approve agreement with Mercy House to operate the City's Navigation Center, with the option to extend for 2 additional years (subject to budget approval)



Questions

